Worksheet: Specialization and Comparative Advantage

ECON 201

Definitions from today

Opportunity cost. what you give up by taking one action instead of the next best alternative.
Absolute advantage. being able to produce more of a good than someone else, using the same inputs.
Comparative advantage. the ability to produce a good at a lower opportunity cost than another producer.

1. Pablo and Lin's Sunday

Pablo and Lin each spend about 8 hours on Sunday baking bread and making cheese. If they spent the whole day on just one food, they could make:

	Loaves of bread	Pounds of cheese
Pablo	12	6
Lin	2	4

They can also split the day between the two foods, and output scales with time. For example, if Pablo spent half the day on bread, he would make 6 loaves, and a quarter of the day on cheese would give him 1.5 pounds.

(a) Fill in the opportunity cost of each food for each person.

	1 pound of cheese	1 loaf of bread
Pablo	_____	_____
Lin	_____	_____

(b) Who has the absolute advantage in each food?

(c) Who has the comparative advantage in each food?

(d) Suppose each of them spends 75% of the day on bread and 25% on cheese. Fill in what each produces, and the totals.

	Loaves of bread	Pounds of cheese
Pablo	_____	_____
Lin	_____	_____
Total	_____	_____

(e) Now each makes only the food in which they have the comparative advantage. How much bread and cheese is produced in total?

(f) They agree on a deal: Lin sells Pablo 2 pounds of cheese for 2 loaves of bread. What does each of them end up consuming? Is each of them better off than in part (d)?

(g) Between which two prices, in loaves of bread per pound of cheese, does trade make both of them better off?

2. One more pair

Ana and Ben work at a campus bakery. In an hour, they can produce:

	Frosted cupcakes	Pots of coffee
Ana	12	3
Ben	4	4

(a) Who has the absolute advantage in each task?

(b) Who has the comparative advantage in each task?

(c) At what prices, in cupcakes per pot of coffee, do you think they would trade?